

21. PROPERTY PROTECTION AND PROPERTY INTERESTS

INTRODUCTION TO THE LEGAL SYSTEM – MODULE I

A.y. 2024/2025

Prof. Pietro Sirena



OWNERSHIP - PROTECTION

Exclusivity of ownership is created by the legal remedies by which the owner can be protected

Ownership is an absolute right: Protection *erga omnes*:

1. Recovery action (*Reivindicatio*):

The right of the owner to assert his right and claim the return of the object from any third party

2. Injunctive relief (*Actio negatoria*):

The right of the owner to prevent or remove any interference with his property interests



1. RECOVERY ACTION

Cour de cassation, 22 April 1823 – *Hellot v. Leclerc*

Hellot and **Leclerc** owned two neighbouring buildings separated by a wall.

In 1819, Leclerc demolished the wall and built a new building.

Hellot sued Leclerc, claiming that the new building encroached on his property by 14 inches, and destabilised it.

Leclerc did not deny the allegations, but replied that: (i) Hellot's building had collapsed and could not be repaired due to legal restrictions; (ii) Hellot had suffered only minor losses, whereas the obligation to remove his building would cause him substantial damage.

1. RECOVERY ACTION

Cour de cassation, 22 April 1823 – *Hellot v. Leclerc*



Hellot has the right to demand the removal of the encroaching building and the return of his property, regardless of the state of the property and of the actual harm suffered

1. RECOVERY ACTION

Cour de cassation, 20 March 2002

Houssin v. Legrasse

Lagrasse built a fence that extended 0.50 cm into his neighbour's property. The neighbour, **Houssin**, sued him.

The Paris Court of Appeal dismissed the case on the grounds that the encroachment was negligible.



**No one may be deprived of their property.
Houssin has the right to demand the removal of the
encroaching fence and the return of his property.
The degree of encroachment is of irrelevant.**

2. INJUNCTIVE RELIEF

German Supreme Court, 1.12.1995

The claimants bought a plot of land situated next to the defendant's factory premises in order to build an underground car park.

The construction company discovered significant chemical contamination. The disposal of the excavation waste resulted in high costs.

The claimant demanded payment of additional disposal costs. In the meantime, the defendant company had gone bankrupt and was being managed by a liquidator.

The operator of a facility that has caused soil contamination on neighbouring land remains responsible after closure and can be ordered to remove the contaminants that interfere with the owner's peaceful enjoyment of his property.



2. INJUNCTIVE RELIEF

German Supreme Court, 12.7.1985

The claimant owned a plot of land with a house.

The defendant, his neighbour, let his property to a married couple and allowed them to run it as a brothel.

The claimant believed that his underage daughter was being morally endangered and that the value of his property was being devalued.

The claimant demanded that the defendant stop the commercial sex work in his house.

The claim was dismissed.

Injunctive relief does not cover property interferences of a genuine moral nature.



PROPERTY INTERESTS

Primary Property Rights:

These rights include the full bundle of powers that the holder can have over goods

- *Ownership*
- *Intellectual Property*

Secondary (Lesser) Property Rights

These rights include only some of the powers that the owner may have over goods

- *Secondary Right of Use*
- *Secondary Security Rights*



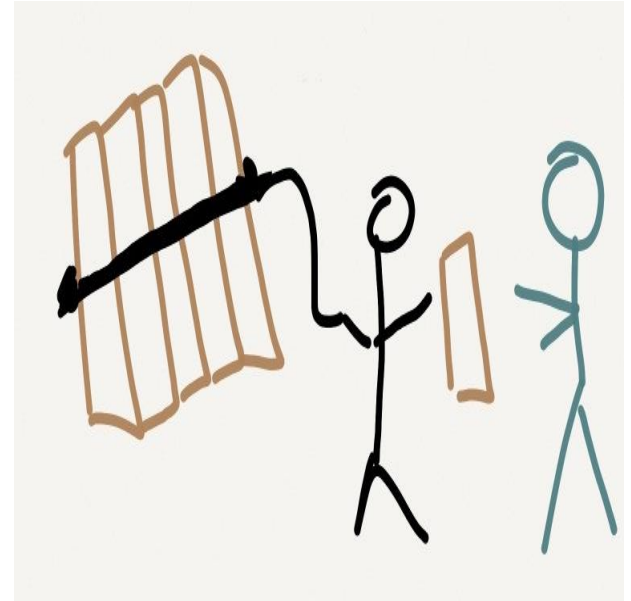
LIMITED PROPERTY RIGHTS

Limited property rights are property rights with *erga omnes* effect derived from a right of ownership over a movable or immovable thing

Limited property rights as fragmentation of ownership: French theory of *démembrement de la propriété*



The creation of limited rights by the owner can be understood as a process of subtracting certain rights from his original bundle and granting them to third parties.



LIMITED PROPERTY RIGHTS

Two categories:

- **Limited property rights of enjoyment** grant their holders specific, albeit limited (as compared to ownership), rights to use the object. In particular:
 - *Servitudes (EASEMENTS in common law)*
 - *Usufruct (comparable to the TERM OF YEARS in common law)*
 - *Use-Habitation*
- **Limited property rights of security** are created to secure the payment of a claim/debt. They are usually created by the debtor/owner over an object in favor of his creditors:
 - *Hypothec / Mortgage*
 - *Pledge*



LIMITED PROPERTY RIGHTS

Common features

Protection *erga omnes*

- Absolute rights: they can be enforced against anyone else in the world

Run with the asset

- If ownership is fragmented, limited property rights bind subsequent owners of the (remaining rights in) the asset

Numerus clausus (numbered by law)

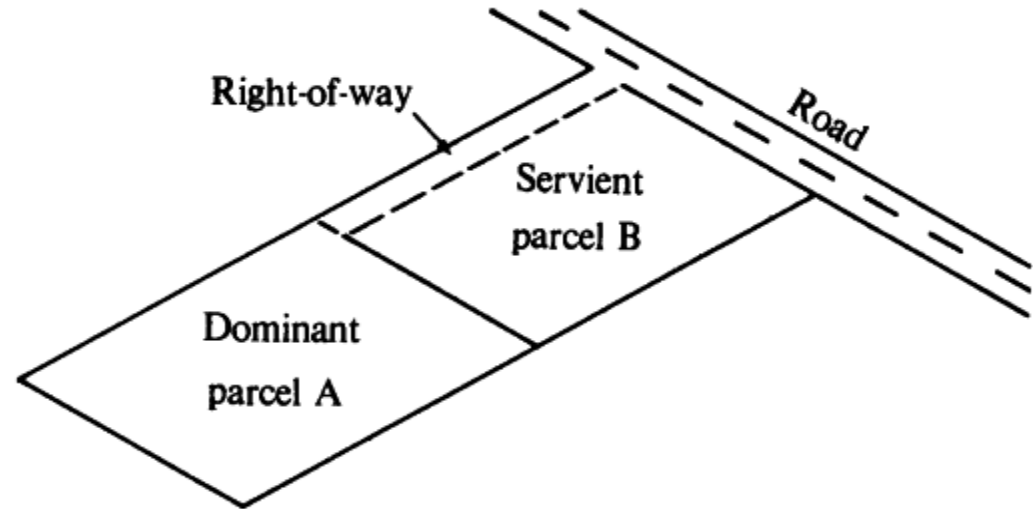
- Limited property rights are only provided by law: individuals cannot create new types of property rights



SERVITUDES

A predial servitude consists of a burden imposed on one piece of land (servient) for the benefit of another piece of land (dominant) belonging to a different owner

E.g. *right of way*:
allows the owner of the one piece of land to walk across the other piece of land, usually the neighbor's



SERVITUDES

Dominant land

The piece of land that benefits from the establishment of a servitude

Servient land

The land subject to the servitude, i.e. on which the “burden” is imposed

Servitudes as rights *in rem*

They insist on the land / do not bind the owner personally



If the owner of the servient land sells it, the servitude remains with the land and binds the purchaser: it is a right *in rem* (*‘servitudes run with the land’*)

SERVITUDES

Affirmative servitudes: The owner of the dominant land can do something on the servient land

- *E.g. Servitude of way:* the owner of the dominant land may pass through the servient land to access a public road

Negative servitudes: The owner of the dominant land can prevent something being done on the servient land

- *E.g. Servitude not to build on land:* the owner of the servient land may be prevented from erecting new buildings that would obstruct the dominant land's view

The duty imposed on the servient land cannot be an obligation on the owner to do something

